

LeoTrax Business Simulation



Executive Leadership Team

Five-person executive team across finance, marketing, analytics, manufacturing, and HR.

Ishaan Wason
President & VP Analytics



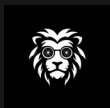
Executive Team
Finance



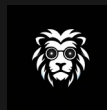
Executive Team
Marketing



Executive Team
Analytics



Executive Team
Manufacturing & HR



Who Is LeoTrax?

- Performance-focused global bicycle company.
 - Advanced carbon-fiber manufacturing and data-driven market strategy.
- Designs, produces, and markets high-quality bicycles targeted at three segments:
 - Speed, Recreation, Mountain.
- Goal: Balance **innovation, operational efficiency, and market responsiveness.**
- Developed a diversified product portfolio:
 - **Apex R, TameX, Lynx R, Viper, and Untamed.**
- Operating in global markets including **Amsterdam, New York City, Bangalore, and Rio de Janeiro.**
 - Build brand presence while managing international demand variations.
- Our value proposition:
 - Delivering **lightweight, customizable, and high-performance bicycles.**
 - Strategic investments in R&D, marketing effectiveness, workforce productivity, and manufacturing reliability.

Strategic Pillars

Five Decisions that Shaped Every Quarter

Technology leadership

- Heavy R&D investment in enriched carbon fiber and aerodynamic speed components.
- Continuous product upgrades across Apex R, Lynx R, TameX and new launches.
- Focus on reliability and brand judgement leadership.

Capacity planning

- Production scaled from ~1,000 units to over 3,600 units.
- Overtime and printer expansion used to reduce stock-outs.
- Final strategy aimed at ~ 5,000 unit production alignment with demand.

Financial discipline

- Equity-funded growth with zero debt maintained.
- Early liquidity preserved through Certificate of Deposit strategy.
- Strong asset turnover achieved despite aggressive expansion.

Sales and expansion

- Market entry progression: Amsterdam → Bangalore → New York → Rio.
- Sales force scaled from 5 to 33 representatives.
- Multi-segment positioning across Speed and Recreation segments.

Market recovery

- Addressed ill-will penalties through better capacity planning.
- Increased marketing effectiveness via digital promotion and brand focus.
- Strategy shifted from demand generation to demand fulfilment.

Quarter 1–2 | Market Entry & Early Efforts

Quarter 1 — Initial Market Entry & Operational Setup

Launched three core brands aligned with key segments:
Apex (Speed), Tame (Recreation), Lynx (Mountain)

- Focused on **single-city strategy (Amsterdam)** to control early operational risk.
- Invested in **2 production printers** and built fixed capacity of **1,000 bikes**.
- Prioritized **financial discipline**, allocating **\$394K into Certificate of Deposit**.
- Strategic goal: **test demand patterns while preserving liquidity**.

Strategic Insight from Q1–Q2:

Strong brand positioning and financial discipline.

However, conservative demand forecasting created early growth constraints.

Quarter 2 — Early Marketing Expansion & Demand Learning

Defined pricing strategy:

Apex \$1,300 | Lynx \$1,150 | Tame \$900 (no rebates initially)

Launched **multi-channel promotion strategy**

- Regional media ads (10 inserts).
- Dedicated webpages for each brand.
- Initial market research investment.

- Expanded sales capability by hiring **5 sales representatives**.
- Maintained **no overtime production** to control operating costs.
- Continued strong **cash reserve positioning** with additional **\$594K saved**.

Key learning: **Demand was underestimated** → led to ill-will impact in later quarters.

Q3: Market Entry

Strategic adjustment and market positioning:

- Refocus on high-potential segments and introduced targeted rebates on the Recreation brand to stimulate sales momentum.
- Strengthened brand communication by integrating the Mountain brand identity into LeoTrax's core advertising message.
- Increased regional media exposure with additional promotional inserts to improve visibility.
- Revised demand forecast to ~1,000 units based on salesforce productivity assumptions. Additionally, introduced controlled overtime (1 hour) to better align production with rising demand.
- Continued investment in system improvements, environmental responsibility, and quality control to support long-term competitiveness in the market.

Performance outcomes and key insights:

- First major learning phase: mismatch between demand expectations and operational capacity became visible.
- Ill-will effects began emerging due to earlier under-forecasting and service level gaps.
- Incremental operational upgrades improved product reliability and process efficiency.
- The quarter reinforced the importance of integrated decision-making across marketing, manufacturing, and sales.
- Set the foundation for later strategic narrowing and large R&D investments in subsequent quarters.

Q3 Awards

Four awards earned in Q3 – Recognized for top demand generation, advertising excellence, and sales team performance.

"Top Demand!"

Highest demand within a single customer segment in the industry.



"Off the Ground"

Generated demand of 500+ units in the first quarter of sales.



"Home of the Best Ad"

Best rated ad (and over score of 78).



"Meet the Best Sales Staff"

Most productive sales team in the industry.



Q4: Brand Building and R&D

- Narrowed strategic focus to **Speed and Recreation segments**.
 - Dropped Mountain as a primary target.
 - Approved **\$1.6M major R&D investment**.
 - Expanded geographic footprint.
 - New York, Amsterdam, Bangalore.
 - Increased sales force from **5 to 10 representatives**.
 - Increased fixed capacity from **16 → 32 units**.
- **Highest brand judgment in the industry.**
 - Maintained **top advertising effectiveness**.
 - Recorded **industry-leading production workforce productivity**.
 - Successfully matched operating capacity with projected demand.
 - Built strong **technology leadership foundation**.

R&D Feature	Quarter ready to use	Amount Paid	Cost to finish	Quarterly payment until finished
CARBON FIBER MATERIAL				
 Enriched - lighter, stronger	Q5	0	1,023,325	1,023,325
TIRES				
 Mountain - super traction	-	0	254,694	
 Hybrid - comfort	-	0	254,694	
 Racing - sleek, very fast	Q5	0	254,694	254,694
HANDLEBARS				
 Power straight	-	0	181,924	
 Carbon fiber riser	-	0	227,406	
 Carbon fiber aerodynamic drop down	Q5	0	336,560	336,560

Q4 Awards

"Best Brand Has Arrived"

Highest brand judgment in the industry, surpassed the 78-point benchmark.



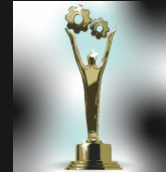
"Home of the Best Ad"

Best rated ad trophy retained for the second consecutive quarter.



"Best Production Workers"

The most productive workers in the industry.



Q5: Aggressive Expansion

Strategic Decisions

- Expanded product portfolio to **five active brands**: Apex R, TameX, Lynx R, Viper, and the Untamed brand.
- Implemented **Q4 technology upgrades**, including enriched carbon fiber and segment-focused positioning.
- Entered **Rio de Janeiro**, creating presence in all four global markets.
- Scaled sales force **from 10 to 23 representatives** to accelerate demand.
- **Higher media inserts and social media promotion.**
- Invested **\$641k in new R&D** (super-traction tires & puncture-resistant technology).

Performance Outcomes

- Demand surged to **over 3,000 units**, validating brand positioning strategy.
- **Operating capacity (2,750 units)** lagged demand, causing stock-outs and lost revenue.
- Rapid expansion resulted in **full utilization of cash reserves.**
- Balanced scorecard performance improved due to **strong financial results and future investment score.**
- Quarter highlighted a critical lesson: **growth must be synchronized with production capability.**

Q5 Awards

"Home of the Best Dd (best rated ad & over 78)"

Company had the best rated ads.



"Simply the Best... Reliability"

Company is the most reliable in the industry.



"Top Performance"

Company had the highest balanced scorecard in the industry.



"Significant Sales"

Company generated 1 million+ in sales.



"The Best Brand has Arrived (highest brand judgement in the industry)"

Company had the highest judgement in the industry.



Q6: Commercialization at Scale

- Integrated Q5 product upgrades were commercialized across the full portfolio.
- Pricing strategy adjusted, Viper rebate increased to 100 while other brands were standardized at 50.
- Marketing investment shifted strongly toward digital engagement through video sharing and micro-blog platforms.
- Geographic footprint reached full operational scale with active presence in New York, Rio de Janeiro, Amsterdam, and Bangalore.
- Salesforce expansion from 23 to 33 representatives aimed to capture growing global demand.
- Demand projection increased significantly to 6,072 units as a result of product improvements and increased advertising.
- Despite strong market traction, operational execution remained the primary constraint on performance.
- Effective operating capacity reached only 3,686 units, creating the largest demand-supply gap observed in the simulation.
- This mismatch intensified ill-will from the earlier quarters.
- Quarter 6 therefore represented a transition phase: a move from unfocused growth to the need for disciplined capacity alignment.
- The experience highlighted a critical strategic learning: sustained competitive advantage requires synchronizing innovation, marketing expansion, and production scalability.

Q6 Awards

"Moving Up"

Company balanced scorecard is improving each quarter.



"No More Red"

Company made at least some profit.



"Ads that Sell"

Company reached at least 90 in ad judgement.



"Simply the Best... Reliability"

Company is most reliable in industry.



"We are Global!"

Company is now present in all world regions.



"Significant Sales"



"Highest Brand Judgement in the Industry"



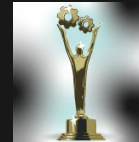
"Meet the Best Sales Staff"

Company has the most productive sales staff in the industry.



"Best Production Workers"

Highest manufacturing workforce performance and productivity.



Quarter 7: One Last Calculation to Balance Demand and Manufacturing Capacity

Q7 Awards

"We are the Champions!"

Company had the highest cumulative scorecard.



"Top Performance"

Company had the highest balanced scorecard in the industry.



"Ads that Sell"

Company reached at least 90 in ad judgement.



"Simply the Best... Reliability"

Company is most reliable in industry.



"We are Global!"

Company is now present in all world regions.



"Significant Sales"



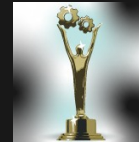
"We are in the Money!"

Company made at least 1 million in profit.



"Best Production Workers"

Highest manufacturing workforce performance and productivity.



Key Learnings

Cumulative Balanced Scorecard

Results of the previous quarter (Quarter 5).

	Minimum	Maximum	Average	LeoTrax
Cumulative Total Performance	0.367	2.484	1.597	1.907
Cumulative Financial Performance	9.422	17.657	15.041	17.327
Cumulative Market Performance	0.115	0.252	0.176	0.146
Cumulative Marketing Effectiveness	0.685	0.764	0.730	0.755
Cumulative Investment in Future	7.059	8.761	7.628	7.686
Cumulative Wealth	0.543	0.711	0.631	0.637
Cumulative Human Resource Management	0.728	0.758	0.745	0.746
Cumulative Asset Management	0.442	0.597	0.527	0.577
Cumulative Manufacturing Productivity	0.501	0.713	0.608	0.713
Cumulative Financial Risk	1.000	1.000	1.000	1.000
Cumulative Reputation	0.629	0.669	0.652	0.661

Cumulative Balanced Scorecard

Results of the previous quarter (Quarter 6).

	Minimum	Maximum	Average	LeoTrax
Cumulative Total Performance	2.119	8.732	6.141	8.732
Cumulative Financial Performance	22.558	38.266	31.962	38.266
Cumulative Market Performance	0.129	0.232	0.172	0.163
Cumulative Marketing Effectiveness	0.741	0.792	0.767	0.786
Cumulative Investment in Future	4.247	4.956	4.691	4.714
Cumulative Wealth	0.864	1.139	1.046	1.139
Cumulative Human Resource Management	0.764	0.824	0.795	0.804
Cumulative Asset Management	0.692	0.874	0.784	0.855
Cumulative Manufacturing Productivity	0.608	0.694	0.654	0.694
Cumulative Financial Risk	1.000	1.000	1.000	1.000
Cumulative Reputation	0.647	0.705	0.675	0.694

• **Capacity discipline drives performance:** Rapid sales expansion without matching production capacity created persistent stockouts and lost revenue opportunities.

• **Ill-will compounds over time:** Early service level gaps reduced realized demand in later quarters, highlighting the long-term cost of operational misalignment.

• **Strategic R&D creates competitive advantage:** Investments exceeding **\$2.2M in carbon-fiber innovation and product upgrades** significantly improved brand perception and segment positioning.

• **Workforce productivity is a strategic asset:** Consistent investment in compensation, morale programs, and quality systems resulted in **industry-leading manufacturing and sales efficiency.**

• **Balanced Scorecard focus drives sustainable growth:** Optimizing financial strength, market performance, operations, HR capability, and future investment produced stronger overall results than focusing on short-term sales alone.

Future Considerations

Mission: Grow LeoTrax into the most efficient, most trusted carbon-fiber bicycle brand in the simulation.

Capacity before demand

Activate the planned jump to 144 fixed capacity before adding more salespeople. Supply constraints must be resolved first.

Recover from ill-will

Stabilize stockouts for 2 consecutive quarters to restore net demand conversion rates. Then shift to premium pricing by reducing rebates gradually.

Optimize and lead

Improve output per salesperson rather than grow headcount. Use Q5 R&D investments as a foundation - sustain product leadership, not a one-time effort.

Thank you

Group 6

President & VP Analytics | Five-person
executive team



From one Amsterdam store to a four-city, global operation.

LeoTrax
